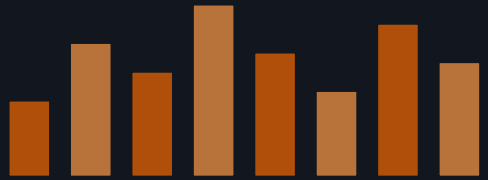
Zilch & Grafana

Commercial Strategy



Assumptions Made

Key inputs behind the 3-year cost model

1

3-Year Term

We've anchored costs against a 3-year commitment for maximum price protection and discount/incentives.

2

Assumed Sign Date Before January 2027

Ahead of any changes to Grafana's pricing strategy, and within the current financial year for maximum discount leverage.

3

5% Growth YoY

We've assumed a 5% year-over-year growth trajectory for Zilch, which we believe is a conservative planning number.

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Grafana Cloud Professional Services

Hybrid delivery — hands-on build plus guidance — run fully remote.

Where the hours go *(estimates)*



Technical Deployment	75% · 263h
Training & Enablement	15% · 52h
Project Management	10% · 35h

350 hours · **$112,000** (20% disc)

9 products in scope

- Metrics
- Logs
- Traces
- Kubernetes Monitoring
- Application Observability
- Frontend Observability
- IRM
- K6 Performance
- K6 Synthetics

10 instructor-led enablement modules

- Grafana Foundations
- Alloy & Fleet Management
- Alerting & SLOs
- Metrics
- Logs
- Traces
- Cloud Administration
- IRM — OnCall & Incident
- Synthetics & k6
- Cost Management

3-YEAR TOTAL COST OF OWNERSHIP · DATADOG VS. GRAFANA CLOUD

$2,009,734

Updated 3 Year Cost of Grafana Cloud

	UPDATED GRAFANA CLOUD COST	CONTINUED DATADOG SPEND	UPDATED TCO
Year 1	$749,505	$59,724	$809,229
Year 2	$669,380	$62,710	$732,090
Year 3	$702,849	$65,845	$768,694
3-Year Total	**$2,009,734**	**$188,279**	**$2,310,013**

Grafana Cloud Year 1 includes a one-time $112,000 professional services investment.

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Flexible Spend Commit Model - Overview

No Product Specific Usage Commits

Use committed spend across any Grafana Cloud products at contracted rates.

No Monthly "Use It" or "Lose It" Commits

Use committed spend across the entire contract term. For multi-year terms, unused funds rollover from one year to the next until the end of the term. Funds expire at end of term.



It's like a gift card

What is the benefit of a Flexible Spend Commit?

Customers can consume their spend across all in-scope Grafana Cloud products across the full contract term.

What if I exceed the commit before the end of the term?

1. Early renewal based on projected growth
2. Accelerate payments for multi-year contracts (paid annually)

Billing Concepts:

- Funds are preloaded by the customer
- Deducted from account monthly based on usage
- Reload funds when spend commit is exhausted

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Grafana Cloud's Billing Differentiators

Adaptive Telemetry

Ensures you can send more of your data but only be billed for what you use. On average, customers benefit from 20–50% additional savings via cardinality optimization.

Cost Management Hub

Pre-built tooling to help you understand, predict, and avoid wasted observability spend.

Object Store Based

Our open source architecture & cloud tooling enables us to operate with a lower TCO, passing the savings back to you.

95th Percentile Billing & No Overage Penalties

We don't punish customers for unexpected usage spikes or overages during the contract term.

Flexible Spend Commit

Flexibility to pull-forward or roll-over consumption for the duration of your contract term.

How Grafana Cloud Billing Works

Three billing models — understanding how each product is measured and charged.

BILLED PER MONTHLY ACTIVE USERS

Monthly Active User

Visualization

Any user who logs into Grafana during the billing month. No login = not billed. No seat licenses.

IRM

Any user in OnCall schedules, escalation chains, or who receives a page, changes alert status, or creates/edits an incident that month.

Grafana Assistant

Any user who sends a message to Assistant, clicks an action button like 'Explain this panel', or uses another Assistant feature that month. Includes a 40m token allocation per user.

A user is counted only once per month across all stacks in your account, regardless of how many times they log in.

BILLED BY CONSUMPTION

Pay for what you ingest and store. Volume drives cost.

Metrics

Low resolution = 60s · High resolution = 15s

Billed per 1,000 active series/month. Adaptive Metrics reduces cardinality at the source before billing.

Logs

Process · Write · Retain

Process: optimizing at ingestion. Write: data written to storage (Adaptive Logs reduces this). Retain: keeping data stored over time.

Traces + Profiles

Process · Write · Retain

Same three-component model as Logs. Adaptive Traces (tail sampling) reduces Write volume — errors and slow spans always retained.

Synthetics

API Testing

Billed per execution: probes x tests x duration (mins) x (43,200 / frequency). A test running from 5 probe locations every minute = 5 executions per run.

Adaptive Telemetry reduces Write volume before billing

BILLED BY HOST-HOUR

Per active host or container per hour. Idle = not billed.

Application Observability

A host is active if it sent observability signals in the last 15 minutes. For K8s, host count equals node count.

Kubernetes Monitoring

Two components: node-hours and container-hours.

Database Observability

A host is active if it has sent monitoring data in the last 15 minutes. Each database instance = one host (e.g. each Postgres server).

Metrics, logs, and traces generated from these products billed by consumption.

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Zilch's Journey with Grafana



Discovery

- Set goals & strategy
- Statement of Work (PS)
- Outline timelines

Onboarding

- Align on expectations
- Agree success plan with adoption & success metrics
- Draft a mutual action plan

Implementation

- Guide through initial setup & configuration
- Highlight key Grafana features tailored to Royal Mail
- Support successful migration

Adoption & Growth

- Review progress & adjust based on success plan
- Engage in regular feedback sessions
- Introduce relevant tools/features
- 3-month EBR checkpoint

Optimization

- Review performance & suggest refinements
- Personalized Tech Days, Grafana Days
- Connect with users for insights

Value Realization

- Align strategies with stakeholders & spotlight successes
- Executive Business Review

Observability Architect: Your primary technical contact partnering with you along your observability journey, enabling teams to achieve KPIs and deliver measurable value.

Account Manager & Solutions Engineer: Your primary contacts for commercial purposes - expansions, new product offerings, and contractual questions.

Technical Support: Helps you troubleshoot technical issues.

Professional Services: Guides you through implementation, migration, adoption, growth and optimization.

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Zilch

Datadog Migration

What We Heard

Migration Concerns

Cost of **dual running** Datadog and Grafana during transition. **Enablement at scale** across a large engineering org with varying skill levels. **Time commitment** required from Zilch's own team throughout the migration.

OTel adoption in progress

Newer services use OTel, but **legacy services remain on Datadog agent**. Teams hesitant to re-instrument older apps. Dual instrumentation during cutover is a key concern — **cost and SDK conflict risk**.

Lean team, hard deadline

August renewal deadline. Team described as "busy and lean." Zilch expects Grafana to carry the migration heavy lifting. **Can't afford prolonged parallel running costs**.

Throttled by cost, not by need

RUM limited due to Datadog pricing. Logs heavily filtered. Custom metrics penalized. Teams want **more observability, not less** — at a sustainable price point.

Mixed infrastructure

AWS-native: **EKS with Fargate + EC2 mixed clusters**, Lambda serverless, RDS MySQL, Redis.



Enable a smooth transition from Datadog to Grafana Cloud by migrating critical observability assets, leveraging Grafana's out-of-the-box capabilities for rapid value, and establishing a scalable foundation for future growth and adoption.

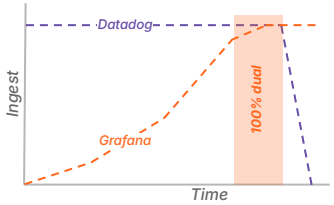
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Controlling dual running costs

Full dual ingest is not required throughout migration. Control when, what, and how much flows into Grafana Cloud.

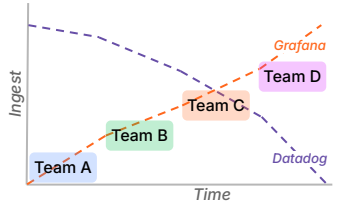
1 Slow Ramp

Not all telemetry needs to flow into Grafana from day one. We send just enough to validate — then scale up to full dual ingest for less than one week before cutover, and scale Datadog down.



2 Migrate by Entity

For each entity — team, service, or application — we ramp up individually, validate, build confidence, and reduce dual ingest to days not weeks before cutover.



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Multi-Track Delivery Model



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Migration Partnership

Telemetry Ingestion

- Ingest metrics, logs, and traces into Grafana Cloud
  - Deploy and configure agents across your environment
  - Auto-instrumentation of services

Validation

- Your engineers are the domain experts — validate migrated assets
- Grafana Assistant accelerates review and highlights gaps
- We enable, unblock, and iterate alongside you

Scope & enablement

- Define scope and priorities together
- Hands-on workshops tailored to your use cases
- Training sessions for end users
- Build internal Grafana expertise for long-term self-sufficiency

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Accelerators

Out-of-the-Box Integrations

- Pre-built integrations reduce setup time and complexity (Infra, App, Database, Cloud O11y, 100+ integrations)
- Accelerate time-to-value with minimal custom work
- Proven patterns lower risk during migration

Tooling & AI

- Automate migration steps to reduce manual effort
- Built-in validation ensures data accuracy and parity
- Identifies required integrations and data early
- Breaks work into clear, manageable phases

Standardized Ingestion

- Define ingestion once and reuse across teams and use cases
- Scales efficiently as adoption grows

Training & Enablement

- Level up customer engineers to increase available skilled resources
- Reduce dependency on external support during migration

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In Summary



Structured Approach

A clear roadmap ensuring every phase of your migration is mapped and executed with precision.



Proven Methodology

Leveraging battle-tested strategies from 100+ successful enterprise migrations.



Outcome Focused

We prioritize business value and operational success over just moving data.

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Migrate What Matters

Discovery scoped the migration down to what earns its place — not a wholesale lift-and-shift. **Dashboards cut 57% by removing drafts, tests, sub-5-panel and integration-covered boards.**

DASHBOARDS
~189
in scope of 436 total
−57% vs full inventory

MONITORS
~2,149
in scope of 2,284 total
no-owner assets removed

SLOS
~849
in scope of 919 total
no-owner assets removed

SYNTHETICS
~255
in scope of 256 total
validated in scope

≈ 1,250 more flagged as duplicates

Consolidated, not migrated — keeping the engagement focused on assets that matter.

~800 monitors

~450 SLOs

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Your Environment, Fully Covered

Every system we mapped in discovery lands on a **native Grafana Cloud integration** - no custom-built collectors.

AWS Cloud

12 accounts · CloudWatch metrics

EC2 | EKS | Lambda | RDS | DynamoDB | ElastiCache | Redshift | SageMaker | CloudFront | ALB / NLB / ELB | SNS | SQS | Kinesis | MWAA | DMS | Bedrock | Auto Scaling | + more

Infrastructure & Apps

mixed orchestration

EKS — Fargate + EC2 node groups | Lambda serverless | Python | React

Data, Middleware & Platform

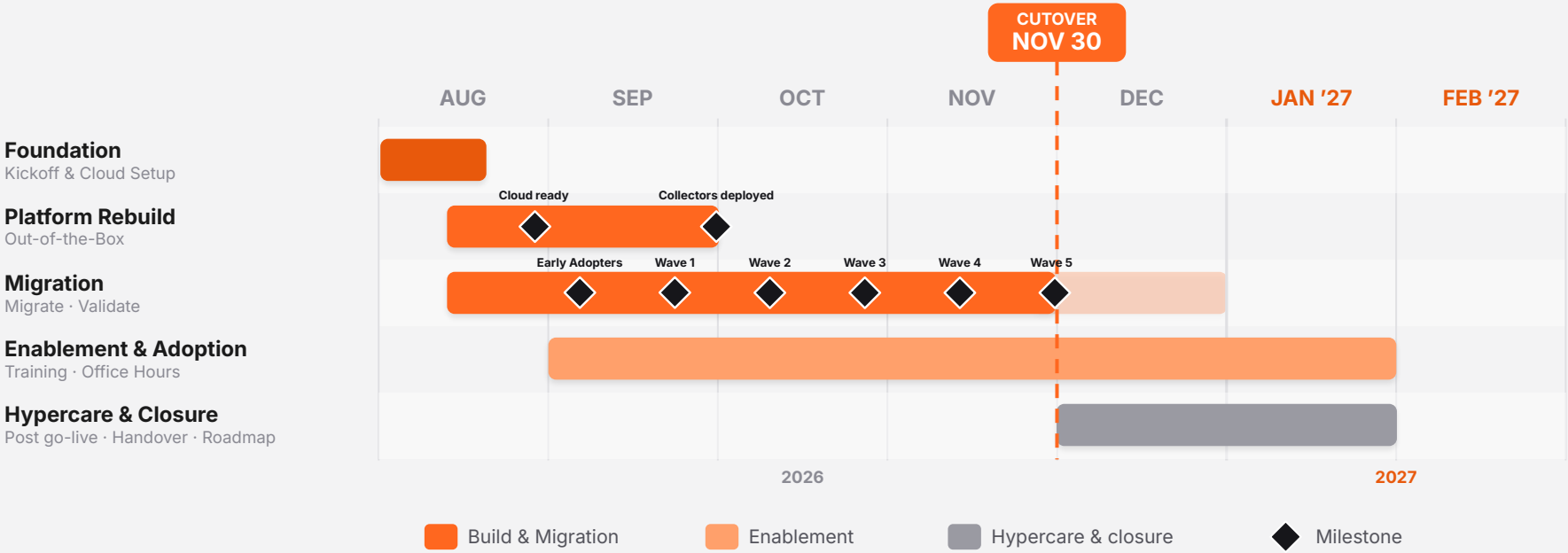
18 integrations

Microsoft SQL Server | Linux Server | PostgreSQL | MySQL | Redis | OpenSearch | JVM | Spring Boot | Apache Tomcat | Nginx | HAProxy | Apache Airflow | CoreDNS | Cloudflare | Cert Manager | GitHub | Jira | OpenAI

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Project Timeline

Engagement runs Aug 2026 – Jan 2027 — services begin late August, with production cutover end of November.



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The engagement at a Glance

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